Table A2. Liberia: Public Sector Debt Sustainability Framework, Baseline Scenario, 2014–37

(Percent of GDP; unless otherwise indicated)

	Actual			Historical 5/		Estimate	Projections								
	2014	2015	2016	Average	Standard Deviation	2017	2018	2019	2020	2021	2022	2017-22 Average	2027	2037	2023-37 Average
Public sector debt 1/	16.7	25.4	30.1			41.6	46.7	47.8	48.1	48.0	47.6		40.1	30.5	
of which: foreign-currency denominated	16.2	24.1	30.0			38.7	43.7	47.1	47.9	47.9	47.4		39.9	30.3	
Change in public sector debt	4.3	8.7	4.7			11.5	5.2	1.0	0.4	-0.1	-0.4		-1.0	-0.9	
Identified debt-creating flows	1.0	9.7	4.0			8.1	3.7	3.1	0.3	-0.3	-1.2		-1.5	-2.1	
Primary deficit	1.8	9.5	3.9	1.7	3.4	7.1	5.4	3.9	3.2	2.7	2.3	4.1	1.5	0.2	0.7
Revenue and grants	27.4	32.4	31.4			29.3	29.5	27.4	27.3	27.0	27.1		25.3	28.1	
of which: grants	3.9	10.0	9.6			7.0	6.7	3.1	2.1	1.5	1.2		1.0	1.0	
Primary (noninterest) expenditure	29.2	41.9	35.3			36.4	34.8	31.3	30.6	29.7	29.4		26.8	28.3	
Automatic debt dynamics	-0.8	0.2	0.1			1.0	-1.7	-0.8	-3.0	-3.0	-3.5		-3.0	-2.3	
Contribution from interest rate/growth differential	-0.7	0.5	-0.7			0.5	-2.9	-1.2	-2.8	-3.2	-3.4		-2.8	-2.2	
of which: contribution from average real interest rate	0.0	0.0	-0.1			-0.1	-0.4	0.1	-0.3	-0.4	-0.4		-0.4	-0.3	
of which: contribution from real GDP growth	-0.7	0.5	-0.6			0.7	-2.5	-1.3	-2.5	-2.8	-3.0		-2.3	-1.9	
Contribution from real exchange rate depreciation	-0.1	-0.4	0.8			0.4	1.2	0.4	-0.2	0.2	-0.1		...	...	
Other identified debt-creating flows	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Privatization receipts (negative)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Recognition of implicit or contingent liabilities	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Debt relief (HIPC and other)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Other (specify, e.g. bank recapitalization)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Residual, including asset changes	3.3	-1.0	0.7			3.4	1.5	-2.1	0.1	0.2	0.8		0.5	1.2	
Other Sustainability Indicators															
PV of public sector debt	...	...	18.5			26.5	29.4	28.9	28.4	27.7	27.0		22.2	17.3	
of which: foreign-currency denominated	...	...	18.4			23.6	26.3	28.3	28.2	27.6	26.8		22.0	17.1	
of which: external	...	...	17.9			23.1	25.5	27.5	27.4	26.8	26.0		22.0	17.1	
PV of contingent liabilities (not included in public sector debt)	...	...	...			...	...	...	...	...	...		...	...	
Gross financing need 2/	2.2	10.8	5.7			7.7	9.0	8.7	5.5	4.9	4.3		2.8	1.5	
PV of public sector debt-to-revenue and grants ratio (in percent)	...	...	58.9			90.3	99.9	105.6	104.1	102.5	99.6		87.7	61.5	
PV of public sector debt-to-revenue ratio (in percent)	...	...	84.7			118.4	129.2	119.0	112.5	108.5	104.3		91.3	63.8	
of which: external 3/	...	...	82.0			103.4	112.2	113.1	108.5	105.0	100.5		90.5	63.1	
Debt service-to-revenue and grants ratio (in percent) 4/	1.6	2.6	2.2			1.8	4.3	7.4	6.4	7.5	7.1		4.4	3.8	
Debt service-to-revenue ratio (in percent) 4/	1.9	3.8	3.1			2.4	5.5	8.3	7.0	7.9	7.4		4.6	4.0	
Primary deficit that stabilizes the debt-to-GDP ratio	-2.5	0.8	-0.8			-4.3	0.2	2.9	2.9	2.8	2.8		2.5	1.1	
Key macroeconomic and fiscal assumptions															
Real GDP growth (in percent)	5.7	-2.8	2.4	5.9	3.8	-2.2	6.5	2.8	5.5	6.2	6.6	4.2	6.1	6.5	6.2
Average nominal interest rate on forex debt (in percent)	1.3	1.9	1.2	0.9	0.7	1.1	1.4	1.2	1.2	1.1	1.0	1.2	0.9	0.8	0.9
Average real interest rate on domestic debt (in percent)	...	-5.6	-6.8	-5.2	3.4	-10.7	-10.1	12.7	14.0	9.8	4.9	3.4	3.4	1.7	1.8
Real exchange rate depreciation (in percent, + indicates depreciation)	-0.9	-2.2	3.4	-2.6	4.2	1.4	...	...	...	...	...	...	...	...	...
Inflation rate (GDP deflator, in percent)	9.2	7.4	9.3	9.4	3.5	18.3	12.8	10.1	9.6	7.9	8.2	11.1	5.9	5.4	6.1
Growth of real primary spending (deflated by GDP deflator, in percent)	-1.8	39.6	-13.6	2.6	13.7	0.8	1.8	-7.8	3.1	3.3	5.4	1.1	6.3	5.7	6.0
Grant element of new external borrowing (in percent)	...	...	...	...	...	47.0	49.9	54.2	58.8	58.6	58.9	54.6	52.9	54.0	...

Sources: Country authorities; and staff estimates and projections.

1/ The public sector debt in DSA covers the central budgetary government's gross debt.

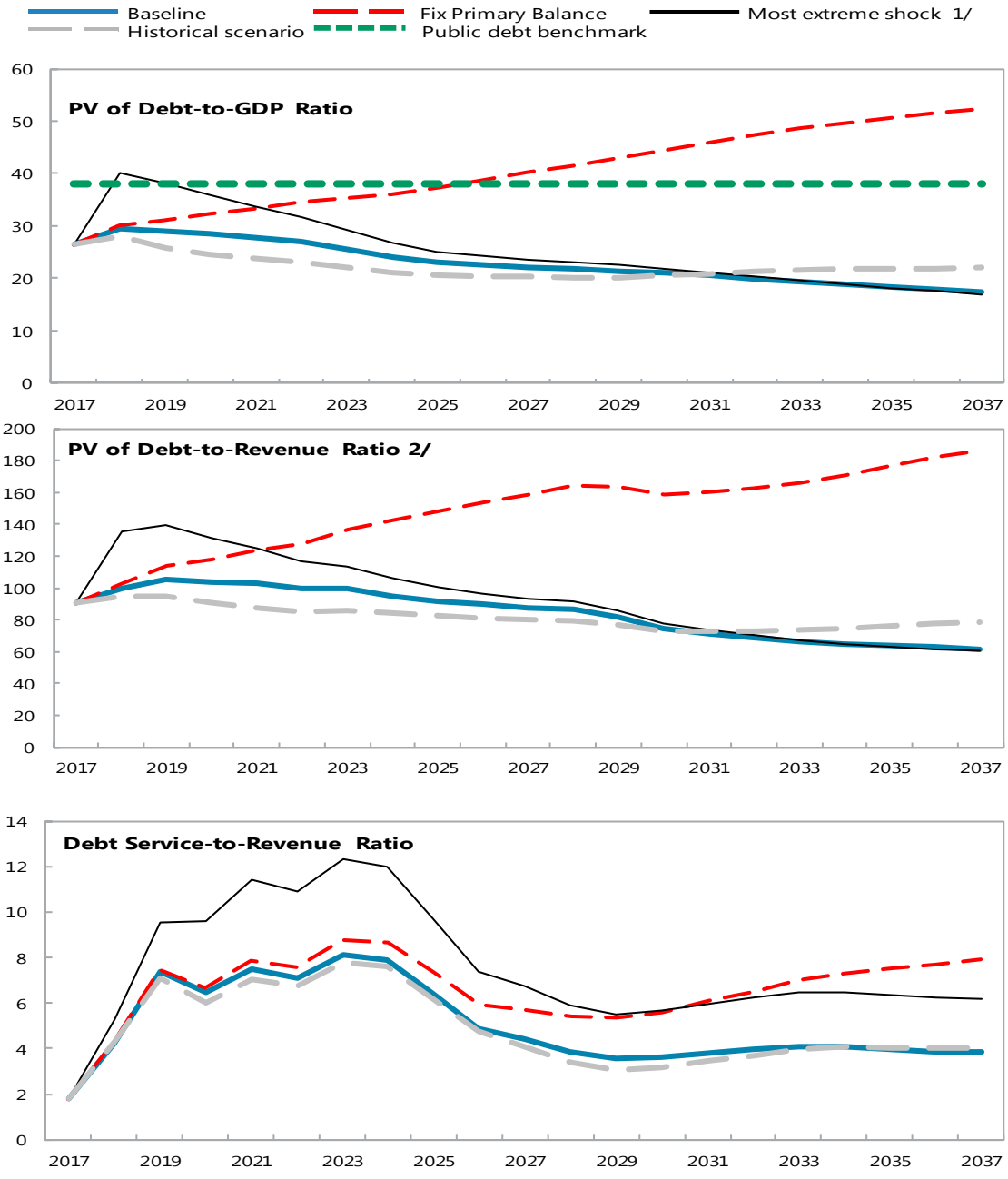
2/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period.

3/ Revenues excluding grants.

4/ Debt service is defined as the sum of interest and amortization of medium and long-term debt.

5/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

Figure A2. Liberia: Indicators of Public Debt Under Alternative Scenarios, 2017–37[1/]



Sources: Country authorities; and staff estimates and projections.
1/ The most extreme stress test is the test that yields the highest ratio on or before 2027.
2/ Revenues are defined inclusive of grants.